

investment (central government spending has more than doubled from FY21 to ₹11,11,111 crore in FY24), private capital remains largely untapped. Institutional investors, like insurance and pension funds, allocate only 6% of their funds to infrastructure.

Long gestation periods and high capital requirements of infrastructure projects deter traditional lenders, exacerbating the financing gap. To achieve its ambitious infrastructure goals, India needs greater private sector involvement and streamlining of policy to ensure ease of doing business.

THE FUTURE OF MOBILITY

Smart, integrated, and sustainable mobility solutions will push the country towards its 2047 journey, say



“India’s infrastructure future will likely be shaped by a blend of technology, inclusivity, and sustainability with global learnings adapted to domestic needs”

NILACHAL MISHRA

Partner and Head,
Government & Public
Services, KPMG

experts. Air and water taxis, flying pods, drone taxis, shift from vehicle ownership to Mobility as a Service, driverless vehicles, and common mobility cards are already on the discussion table.

Vaibhav Dange, a public policy expert on infrastructure, believes addressing critical areas is crucial for building future-ready infrastructure. “While electric vehicles are a step in the right direction, they won’t solve the pressing issue of traffic congestion. Instead, we need to focus on developing a robust public transport system that promotes mass mobility and reduces reliance on personal vehicles,” he says.

Dange suggests that urban planning strategies, such as cluster development, can significantly reduce commute times and improve the overall quality of life.

Moreover, he advocates exploring multimodal sustainable solutions like flying pods, water taxis, and hyperloop systems to drive future growth.

Urban India is expected to witness drastic changes in mobility requirement, pattern, and structure. Wheeled vehicles are still likely to roam city streets, and existing transit networks will remain highly utilised, but how the mobility services are propelled, driven, interconnected, paid for and managed will get transformed, according to the ‘Envisioning Urban India @2047’, a document by KPMG.

As India looks to improve its freight segment, dedicated freight corridors and the Unified Logistics Interface Platform (ULIP) already signal a shift towards coordinated, digitised logistics. “Further progress in multimodal logistics hubs and green freight practices, like those adopted in the



ROAD TO 2047

1. 70% URBAN INFRASTRUCTURE NEEDED BY 2047 IS YET TO BE BUILT
2. INDIA WILL HAVE TO INVEST \$840 BILLION IN INFRASTRUCTURE BY 2036
3. URBAN AREAS TO CONTRIBUTE ALMOST 70% TO GDP IN NEXT 10 YEARS
4. NEED TO INCREASE PRIVATE CAPITAL IN INFRASTRUCTURE FROM 6% AT PRESENT
5. INDIA'S INFRASTRUCTURE FINANCING GAP EXCEEDS 5% OF GDP

